

BRAZIL

Economic Analysis Report 2026

Growth, Inflation, Fiscal Challenges & Market Outlook

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+1.1% QoQ GDP Growth (Q1 2026)	4.58% YoY IPCA Inflation (May)	14.50% Selic Rate	5.80% Unemployment	171,645 Ibovespa	5.06 BRL/USD
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Executive Summary

Brazil enters mid-2026 as Latin America's largest economy with nominal GDP exceeding \$2 trillion, demonstrating remarkable resilience against multiple external shocks — including Middle East energy tensions, US tariff measures, and persistent domestic fiscal pressures. Q1 2026 GDP surpassed expectations at +1.1% QoQ, driven by Lula's pre-election stimulus. However, the macro picture is increasingly complex: inflation remains above the 3% target, the Selic rate sits at a still-restrictive 14.50%, public debt is rising toward 90% of GDP, and an October 2026 presidential election injects political uncertainty across all asset classes. The IMF projects medium-term growth converging to ~2.5%, contingent on structural reform delivery. Markets have rewarded Brazil's commodity advantage — the Ibovespa hit all-time highs near 199,000 in April 2026 and the BRL is 2026's best-performing major currency — but sustainability of these gains hinges on post-election fiscal credibility.

■ Sources: IMF 2026 Article IV (Jun 1, 2026), FocusEconomics Brazil Consensus Forecast (Jun 9, 2026), FXStreet Country Tearsheet (Jun 15, 2026), Bigdata.com MCP

Key Economic Indicators — June 2026 Snapshot

Indicator	Value	Prior Period	Trend	vs. Target / Peers
GDP Growth (QoQ, Q1 2026)	+1.1%	+0.3% (Q4 2025)	↑ Accelerating	Beat consensus of +1.0%
GDP Growth (YoY, Q1 2026)	+1.8%	+1.8% (Q4 2025)	→ Stable	FocusEcon FY2026: 1.8%
IPCA Inflation (May 2026)	4.58% YoY	4.26% (Apr)	↑ Rising	Above 3% target; upper limit 4.5%
Selic Policy Rate	14.50%	14.75% (Mar)	↓ Cautious easing	Real rate ~10%; highly restrictive
Unemployment Rate (Apr 2026)	5.80%	6.10% (Mar)	↓ Improving	Multi-decade low
Primary Budget Balance (Apr)	+R\$24.6bn	-R\$80.7bn (Mar)	↑ Improvement	Target: +0.5% GDP in 2026
Trade Balance (May 2026)	R\$7.82bn	R\$10.54bn	↓ Narrowing	Solid but declining
Ibovespa Index	171,645	199,355 (52W High)	↓ Correction	+47.2% YTD as of Apr 2026
BRL/USD	5.06 (0.198)	Highs near 4.9x	Volatile	Best EM currency YTD 2026

■ FXStreet / Bigdata.com Country Tearsheet (Jun 15, 2026); FocusEconomics (Jun 9, 2026)

2. GDP & Growth Dynamics

Historical performance, 2026 conjuncture, and structural constraints

2.1 Recent Track Record

Brazil's GDP trajectory reflects a classic post-pandemic normalization. After a strong 4.6% expansion in 2021, growth moderated to 2.9% (2022), 2.5% (2023), 3.4% (2024), and 2.3% (2025) — the 2025 print beating initial consensus. Q1 2026 came in at +1.1% QoQ, comfortably above the 1.0% consensus. From the demand side, household consumption was the primary driver, supported by a record-low unemployment rate and a minimum wage increase, despite the drag from 14.50% interest rates. Gross fixed capital formation rebounded +2.9% in 2025, led by capital goods imports and software development.

■ [1] Embraer 20-F FY2025 (Mar 30, 2026) via Edgar SEC Filings; [2] Banco do Estado do Rio Grande do Sul Q1 2026 Earnings Call (May 14, 2026) via Quartz

2.2 2026 Consensus Outlook

The full-year 2026 GDP consensus is 1.8% (FocusEconomics, June 2026), making it a post-pandemic low. Key headwinds: (i) lagged effects of monetary tightening — the Selic has been among the most restrictive globally at ~10% real rate; (ii) potential dampening from US tariffs of up to 25–50% on Brazilian goods, though the US accounts for only ~12% of exports, limiting direct impact; (iii) normalization of agricultural output after an exceptional 2025 harvest. The government's own forecast remains more optimistic at 2.3%, partly underpinned by election-cycle stimulus. Q2 is expected to decelerate before a modest year-end recovery as monetary conditions ease.

■ [3] FocusEconomics Brazil Consensus Forecast (Jun 9, 2026); [4] US News/Reuters: Brazil lifts inflation outlook (May 18, 2026); [5] World Economic Situation and Prospects 2026 — UN/DESA (Feb 7, 2026)

2.3 Structural Constraints on Long-Term Growth

The Economist Intelligence Unit projects Brazil's GDP growth to average ~2.2% annually over 2027–30, held back by several chronic structural drags:

Infrastructure gap	Inadequate transport, logistics, telecommunications, and potential energy shortfalls reduce productivity and raise costs for exporters and manufacturers.
Labor productivity	Low sectoral productivity — particularly in agriculture vs. industry/services — constrains convergence. Informality (~39% of workforce in 2024) and skills mismatches persist.
Low private investment	Elevated real interest rates crowd out private capital formation. Business environment complexity, including overlapping tax codes, adds friction.
Fiscal drag	Rising mandatory spending and debt-service costs limit the government's ability to invest in growth-enhancing public goods.
Trade exposure	US-China tensions require careful navigation; Brazil must balance China (largest trading partner) with avoiding US tariff escalation.

■ [6] The Economist: Five-year Forecast Brazil (May 25–26, 2026); [7] Embraer 20-F: structural constraints on GDP (2026)

Upside scenarios: ratification of the EU–Mercosul FTA, delivery of the PAC investment programme (R\$1.7trn through 2030), and a right-of-centre post-election government committed to fiscal consolidation and structural reform could unlock meaningfully higher medium-term growth.

3. Inflation & Monetary Policy

IPCA trajectory, BCB COPOM cycle, and rate path expectations

3.1 Inflation Trajectory

After peak IPCA inflation of 10.7% in 2021, Brazil undertook an aggressive tightening cycle. The IPCA has since moderated — 4.62% (2023), 4.83% (2024), 4.26% (2025) — but remains persistently above the Central Bank of Brazil (BCB)'s 3.0% midpoint target. In May 2026, IPCA registered +0.58% MoM, +4.58% YoY (above consensus of 0.53% MoM), pushed by food, housing, and energy prices. The mid-month IPCA-15 for May hit 0.62% MoM — the highest since 2016 — lifting the 12-month rate to 4.64%, breaching the upper 4.5% tolerance limit of the target band.

Period	IPCA YoY (%)	vs. 3% Target	Note
2023 FY	4.62%	+1.62pp above	Post-tightening moderation
2024 FY	4.83%	+1.83pp above	Energy & food rebound
2025 FY	4.26%	+1.26pp above	Disinflation resumes
Apr 2026	4.26%	+1.26pp above	Food & housing pressures
May 2026	4.58% (est.)	+1.58pp above	Energy shock (Middle East)
2026 FY Consensus	4.5% avg	+1.5pp above	FocusEconomics panel avg
2027 Consensus	3.9% avg	+0.9pp above	Gradual convergence

■ [8] PagSeguro Digital 20-F FY2025 (Apr 29, 2026); [9] FocusEconomics Brazil (Jun 9, 2026); [10] Natixis Global Forex Monitor June 2026

3.2 Selic Rate Cycle & BCB Stance

The COPOM tightening cycle was one of the most aggressive globally: from a historic low of 2.0% (August 2020) to 13.75% (August 2022), then easing to 10.50% by mid-2024, before reversing upward again to 15.00% (June 2025) — the highest since 2006. The BCB has now cautiously begun a fresh easing cycle: two consecutive 25bp cuts brought the Selic to 14.50% (April 29, 2026). The June 16–17 COPOM meeting consensus is a hold at 14.25%, with the BCB explicitly noting that policy remains restrictive.

The BCB's neutrality is anchored at approximately 5% real rate; the current real rate of ~10% is double the neutral, underscoring the depth of restriction. Vinci Compass 20-F noted the BCB's real rate is highest in emerging markets, generating inflows and supporting the BRL carry trade.

■ [11] Itau Unibanco 6-K (Jun 11, 2026); [12] The Economist: Financial Services Brazil (Jun 12, 2026); [13] Vinci Compass Investments 20-F FY2025 (Apr 20, 2026)

3.3 Rate Path Expectations

Source	Selic End-2026	Selic End-2027	Implied Cuts
FocusEconomics Consensus (Jun 9)	13.14%	10.97%	~5 cuts of 25–50bp
The Economist Intelligence Unit	13.00%	10.00%	~6 cuts
BCB Focus Survey of Economists	13.25%	~11.00%	~5 cuts (hawkish)
Government Forecast	13.00%	~11.00%	~6 cuts (optimistic)
Natixis	~13.50%	~10.50%	~4 cuts

■ [14] FocusEconomics Brazil (Jun 9, 2026); [15] The Economist Five-Year Forecast (May 25, 2026); [16] Natixis: BCB to start cutting cycle with low conviction (Mar 18, 2026)

Key risk: the Middle East energy shock has already pushed the BCB to revise its easing path, delaying meaningful cuts. Every 25bp delay in the easing cycle adds approximately 0.2% of GDP to debt-service costs given Brazil's large floating-rate debt stock.

4. Fiscal Position & Public Debt

Structural deficits, debt trajectory, and fiscal framework credibility

4.1 Fiscal Framework & Recent Performance

Brazil's fiscal accounts deteriorated sharply under President Lula. The primary balance swung from a surplus of +1.2% of GDP (January 2023, when Lula took office) to a deficit of -1.1% of GDP (12 months to March 2026, per the BCB). April 2026 data showed a monthly primary surplus of R\$24.6bn (vs. a -R\$80.7bn outturn in March), offering temporary relief. The fiscal framework introduced in August 2023 limits public expenditure growth to 70% of real revenue increases, targeting a primary surplus of +0.5% of GDP in 2025 and +1.0% in 2026. However, enforcement credibility is weak.

■ [17] *The Economist: Fiscal Policy Brazil* (May 26, 2026); [18] *PicS N.V. 20-F FY2025* (Apr 30, 2026); [19] *FXStreet Tearsheet — Fiscal Policy Data* (Jun 15, 2026)

4.2 Debt Dynamics

Brazil's public debt/GDP ratio reached 80.1% in March 2026 (BCB data) and is projected to climb toward 90% of GDP by 2030 if Lula wins re-election and current spending trajectories persist (Economist Intelligence Unit, May 2026). Key debt vulnerabilities include:

Floating-rate sensitivity	High dependence on floating-rate bonds linked to Selic makes debt servicing extremely sensitive to rate decisions. Each 100bp increase costs ~0.5% of GDP annually.
Precatório loophole	Government can exclude up to 0.4% of GDP annually from the fiscal framework for court-mandated payments, weakening the spending cap.
Electoral spending	Pre-election stimulus in early 2026 included income tax exemptions for earnings under R\$5,000/month, minimum wage hikes, cooking gas subsidies, and diesel support. These structural measures add to long-run fiscal pressure.
R\$70bn adjustment package	The government announced fiscal savings of R\$70bn over 2025–26, including restrictions on salary increases and benefits. Implementation track record is mixed.
Oil windfall risk	A planned 12% crude oil export tax aims to offset energy subsidies. Long-term Petrobras pricing distortion risks are re-emerging.

■ [20] *The Economist: Five-Year Forecast Brazil* (May 25, 2026); [21] *PicS N.V. 20-F FY2025*; [22] *The Economist: Fiscal Policy Brazil* (May 26, 2026)

4.3 Tax Reform

Brazil began implementing a landmark consumption tax reform in 2026: Constitutional Amendment 132/2023 unifies five fragmented federal, state, and municipal sales taxes into a dual VAT system (CBS + IBS). The transition period runs 2026–2033. Brazil's combined VAT rate is estimated at ~28%, which would be the highest in the world. Key reforms also include:

Dividend withholding tax (2026)	A new 10% withholding tax on dividends paid abroad came into force January 1, 2026, creating friction for foreign equity investors.
Income tax relief	Households earning under R\$5,000/month are now exempt from personal income tax — a significant fiscal cost with redistributive intent.
Payroll tax transition	Gradual re-imposition of payroll taxes (from gross revenue to payroll base) through 2028 creates transition complexity for corporates.

Oil export levy

A new 12% tax on crude oil exports (from zero) imposed to partially offset fuel subsidies related to the Middle East energy shock.

■ [23] Library of Congress: Brazil Tax Reform Implementation (Feb 18, 2026); [24] Globant 20-F (Feb 27, 2026); [25] SABESP 20-F FY2025 (Apr 30, 2026)

5. Labor Market

Unemployment, informality, wages, and structural dynamics

5.1 Macro Indicators

Brazil's labor market has been a consistent positive in an otherwise challenging macro backdrop. The unemployment rate fell to a multi-decade low of 5.6% in August 2025 (IBGE) and edged further down to 5.8% in April 2026 — below the 5.9% consensus. Real aggregate wages are growing at +6.5% YoY (PicPay Q1 2026 results call), adding approximately R\$22.9bn of real household income monthly. Job creation remains concentrated in lower-income brackets.

Indicator	2022	2024	Aug 2025	Apr 2026
Unemployment Rate (%)	9.6%	6.6%	5.6%	5.8%
Avg. Household Income (R\$/mo.)	1,586	2,020	~2,150+	~2,200+ (est.)
Formal Employment Share (%)	59.2%	63.0%	~64% (est.)	~65% (est.)
Informality Rate (%)	~42%	~39%	~38% (est.)	~37% (est.)

■ [26] World Economic Situation & Prospects 2026 — UN/DESA (Feb 7, 2026); [27] PicPay Q1 2026 Earnings Call (Jun 8, 2026) via Benzinga; [28] AGI Inc. Conference Call (Jan 2026) via Quartr

5.2 Micro / Structural Labor Issues

Despite the aggregate headline improvement, structural labor market issues limit long-term potential:

Informality & underemployment	Despite formalization gains, ~37–39% of the workforce remains informal in 2026. These workers lack social security coverage and credit access, amplifying consumption volatility.
Youth unemployment	Young workers (ages 18–29) are increasingly averse to Brazil's rigid labor laws. The government launched entrepreneurship-support policies in 2026–27 to address youth disengagement.
Skills gap	Infrastructure, technology, and healthcare sectors face acute skilled labor shortages, constraining investment in high-productivity activities.
Real wages vs. productivity	While nominal wages have grown strongly (supported by minimum wage increases of 7–10% annually), labor productivity gains lag, compressing corporate margins and limiting sustainable real income growth.
Credito do Trabalhador (2025)	New legislation allows private-sector workers to access payroll-linked credit via digital platforms, expanding financial inclusion and consumer credit TAM.

■ [29] Buzzi Spa H2 2025 Earnings Call (Mar 31, 2026); [30] The Economist: Business Environment Brazil (May 26, 2026)

6. Market Implications

Equities, fixed income, currency, and FDI

6.1 Equity Market — Ibovespa

Brazil's equity market has been 2026's standout performer in Latin America. The Ibovespa hit an all-time high of 199,355 points on April 14, 2026 (+47.2% YTD as of that date), driven by a weaker USD, elevated commodity prices (oil benefiting Brazil as a net exporter), and a global rotation from US assets toward emerging markets. As of June 15, the index has corrected to 171,645 — below its 50-day moving average of 183,035 but above its 200-day moving average of 166,847 (technically constructive for medium-term holders).

Sector rotation within the Ibovespa is notable: utility companies (power, water, gas) have tripled their index weight from ~5% (2021) to ~16% (2026), now representing 14.5% of daily B3 turnover. High interest rates are pushing capital toward predictable cash flows and inflation-linked infrastructure contracts. Raw materials and oil & gas remain the other key pillars.

■ [31] *The Economist: Financial Services Brazil* (Jun 12, 2026); [32] *The Rio Times: Brazil Leads LatAm Investing* (Jun 11, 2026); [33] *The Rio Times: Brazil Utilities* (Jun 11, 2026)

6.2 Fixed Income — Sovereign Bonds & Spreads

Brazil issued a record US\$10.8bn in sovereign bonds in 2025, followed by US\$10.3bn in early 2026 (oversubscribed across all tranches), confirming strong institutional demand for higher-yielding Brazilian assets. The Selic at 14.50% with a real rate of ~10% is among the highest globally, making Brazil a premier fixed-income carry destination. New 10% withholding tax on dividends (from Jan 2026) modestly shifts the relative attractiveness toward local-currency bonds over equities for some foreign allocators.

■ [34] *The Economist: Business Environment Brazil* (May 26, 2026); [35] *The Rio Times: Where to Invest in LatAm 2026* (Jun 11, 2026)

6.3 Currency — BRL Outlook

The Brazilian real (BRL) is 2026's best-performing major currency globally, appreciating +10.4% vs. the USD YTD through April, trading below 5 BRL/USD for the first time in two years. Key drivers: (1) commodity price windfall — oil, soy, iron ore; (2) massive Selic-driven carry trade inflows; (3) improved terms of trade (+7.7% in 2026, per Economist Intelligence Unit). However, since April the BRL has faced headwinds: political risk (Bolsonaro banking scandal, rising election uncertainty), inflation re-acceleration, and global USD strength. FocusEconomics consensus sees the BRL closing 2026 at 5.22/USD and 5.32/USD by end-2027.

Horizon	BRL/USD Return (%)	Signal	Note
1 Day (Jun 15)	+0.29%	Spike	Short-term bid
5 Days	+2.85%	Spike	Sharp recovery
1 Month	-0.67%	Modest	Post-April retracement
3 Months	+4.04%	Strong	Commodity & carry bid
YTD 2026	Flat	—	Peak Apr, now normalized
1 Year	+7.20%	Strong	Structural BRL strength

■ [36] *ANSA: Brazilian real best performing currency 2026* (Apr 22, 2026); [37] *FXStreet BRL/USD Tearsheet* (Jun 15, 2026); [38] *FocusEconomics Brazil* (Jun 9, 2026)

6.4 Foreign Direct Investment (FDI)

Brazil received robust FDI inflows of US\$77.7bn (3.4% of GDP) in 2025 — a record level — and the Economist Intelligence Unit expects this to remain broadly stable over the medium term, covering approximately 25% of Brazil's gross external financing requirement. Key FDI sectors include energy transition (renewables, biofuels), agribusiness, financial services, and sanitation (driven by Brazil's landmark sanitation investment boom post-privatisation). Geopolitical tailwinds from US-China supply-chain diversification create additional greenfield opportunities in

manufacturing.

■ [39] *The Economist: Business Environment Brazil* (May 26, 2026)

7. Political Landscape & Election Risk

October 2026 election, institutional dynamics, and policy bifurcation

7.1 Election Overview

Brazil's October 2026 general election is the single largest source of near-term macro and market uncertainty. The contest is effectively a rematch between President Lula (PT, left) and a right-wing challenger backed by Jair Bolsonaro — likely Flávio Bolsonaro, though his involvement in a banking corruption scandal (May 2026) has reshuffled opposition dynamics. Polls show Lula pulling ahead following the Bolsonaro camp's scandal, but the race remains competitive. Brazil's deep political polarisation raises the risk of post-election disputes and social unrest, especially in a narrow-margin outcome.

■ [40] *The Economist: Business Environment Brazil* (May 26, 2026); [41] *Financial Times: Brazilian banking scandal* (May 16, 2026); [42] *FocusEconomics Brazil Economic Overview* (Jun 9, 2026)

7.2 Policy Bifurcation — Lula vs. Right-wing Challenger

Policy Area	Lula (PT) Re-election	Right-wing Administration
Fiscal	Expansionary; reliance on one-offs; infrastructure via BNDES; spending hard to cut	Greater fiscal consolidation appetite; spending discipline; but Congress resistance limits scope
Monetary	Implicit preference for lower rates sooner; political pressure on BCB	More orthodox; faster convergence to neutral rate; clearer independence for BCB
Equities	Infrastructure, utilities, credit sectors benefit; equity multiples weigh on high rates	Pro-business sentiment boosts; lower rates support equity re-rating
Trade	Deepen China ties; advance EU-Mercosul; activist Mercosul leadership	More alignment with US; potential tariff risk reduction; similar Mercosul approach
Debt trajectory	Public debt likely >90% of GDP by 2030	Structural reforms more likely; debt stabilisation possible
PAC Investment	Continued R\$1.7tn programme through 2030	Review and possible reprioritisation

■ [43] *The Economist: Five-Year Forecast* (May 25, 2026); [44] *Patria Investments Q1 2026 Earnings Call* (May 7, 2026); [45] *TIM SA 20-F FY2025* (Mar 30, 2026)

7.3 Institutional & Geopolitical Factors

Brazil's judiciary has become an active participant in political dynamics, with US sanctions imposed on Justice Alexandre de Moraes under the Global Magnitsky Act — a development that has raised concerns about regulatory predictability among foreign investors. On trade, the US imposed tariffs of up to 25–50% on a range of Brazilian goods in 2025; Brazil is countering with deeper China ties (its largest trading partner) and progress on the long-delayed EU–Mercosul FTA. Brazil is a net energy exporter and is relatively cushioned from the Middle East oil shock affecting global supply chains.

■ [46] *TIM SA 20-F FY2025* (Mar 30, 2026); [47] *The Economist: Business Environment Brazil* (May 26, 2026)

8. IMF 2026 Article IV — Assessment & Recommendations

IMF staff visit May 18–29, 2026; published June 1, 2026

The IMF team (led by Daniel Leigh) concluded its 2026 Article IV Consultation with Brazil on May 29, 2026. The IMF's headline assessment is that Brazil's economy has demonstrated 'remarkable resilience' and projects medium-term growth strengthening gradually to about 2.5% — above most private-sector consensus.

■ [48] IMF Staff Completes 2026 Article IV Visit to Brazil (Jun 1, 2026), [imf.org](#)

IMF Recommendations by Pillar

Fiscal Consolidation	Implement 'more ambitious fiscal effort' supported by reforms to address spending rigidities and reduce tax expenditures. Save oil-related revenue windfalls rather than distributing them. Provide targeted, temporary support only. These steps would enhance credibility, lower borrowing costs, and create space for priority investments.
Monetary Policy	The BCB's recent easing was characterised as 'appropriate.' The IMF recommends 'maintaining flexibility in the pace and timing of future steps amid heightened uncertainty' from the Middle East energy shock. Continued public commitment to the 3% inflation target is described as 'essential.'
Financial Sector	The financial sector remains resilient, with banks well-capitalised and liquid. The IMF flags household credit risks as requiring continued vigilance. Priorities: reinforce banking supervision, address BCB staffing shortages, and strengthen legal protections for regulators.
Structural Reforms	The IMF endorses Brazil's ecological transformation agenda and new trading partnerships. Recommended: improve business environment, foster competition, increase labor force participation, and advance decarbonisation policies to strengthen productivity and inclusive growth.
Debt Path	Meaningful fiscal reforms are needed to 'place public debt on a firm downward path.' Current framework is characterised as insufficient to stabilise Brazil's high and rising debt ratio.

■ [49] IMF Article IV Brazil (Jun 1, 2026); [50] A9B219 – The Economist Policy Trends Brazil (May 26, 2026)

9. Investment Thesis — Bull, Base & Bear Scenarios

Scenario	Probability	GDP 2026	Selic End-2026	BRL/USD	Ibovespa	Key Triggers
Bull Case	20%	~2.5%	~12.0%	~4.7	200,000+	Right-wing election win; fiscal reform; EU-Mercosul ratified; oil prices stable
Base Case	55%	~1.8%	~13.1%	~5.2	165,000–185,000	Contested election; partial easing; inflation stubborn; moderate reform progress
Bear Case	25%	~1.2%	~14.0%	~5.6+	<150,000	Election dispute/unrest; energy shock re-acceleration; fiscal slippage; US tariff escalation

■ [51] FocusEconomics Consensus (Jun 9, 2026); [52] The Economist Five-Year Forecast (May 25, 2026); [53] Benzinga: Brazil 2026 Mispriced Growth Story (Feb 23, 2026)

Key Risks to Monitor

1. Election outcome & fiscal path	A contested election or victory by a high-spending incumbent without credible consolidation could trigger a sustained BRL sell-off and spread widening.
2. Inflation re-acceleration	The Middle East oil shock has already pushed inflation above the target band's upper limit. Further energy price increases would delay easing and compress domestic demand.
3. US tariff escalation	A proposed US 25% tariff on Brazilian goods risks dampening exports and stoking trade tensions, though the direct GDP impact is limited (~12% export share).
4. Debt sustainability	If fiscal slippage continues, debt/GDP approaching 90% could trigger a rating review, raise borrowing costs, and compress risk appetite.
5. Global EM risk-off	Any reversal in the global EM rotation trade (which fuelled the Ibovespa rally) would hit Brazil disproportionately given elevated valuations.
6. Tax reform transition friction	The dual-VAT transition running through 2033 creates operational complexity; sectors losing preferential rates face medium-term margin compression.

10. Key Economic Events to Watch

Date	Event	Significance
Jun 16, 2026	Retail Sales MoM (Apr)	Consensus -0.7%; will confirm consumer slowdown after Q1 stimulus
Jun 16–17, 2026	COPOM Interest Rate Decision	Consensus hold at 14.25%; any cut signals would be market-moving
Jun 2026	IPCA June flash (IPCA-15)	Will signal whether May's 0.62% MoM print was a one-off or trend
Q3 2026	BCB Focus Survey trajectory	Inflation & Selic expectations — key input for easing pace
Oct 2026	Presidential Election (Round 1)	Most significant macro risk event of the year
Nov 2026	Presidential Election (Runoff)	If no majority in Round 1; outcome determines 2027 fiscal path

Jan 2027	New government takes office	Critical for fiscal consolidation commitment and reform delivery
2026–2033	Dual-VAT (IBS/CBS) transition	Phased implementation; highest VAT in world at ~28% combined rate

■ [54] FXStreet Economic Calendar (Jun 15, 2026); [55] FocusEconomics Brazil (Jun 9, 2026)

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[3]	FocusEconomics — Brazil Economic Consensus Forecast	Jun 9, 2026	https://app.bigdata.com/documents/B4C05FCF2FE39813517FE...
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